Category Review: Chips - Strategic Recommendations

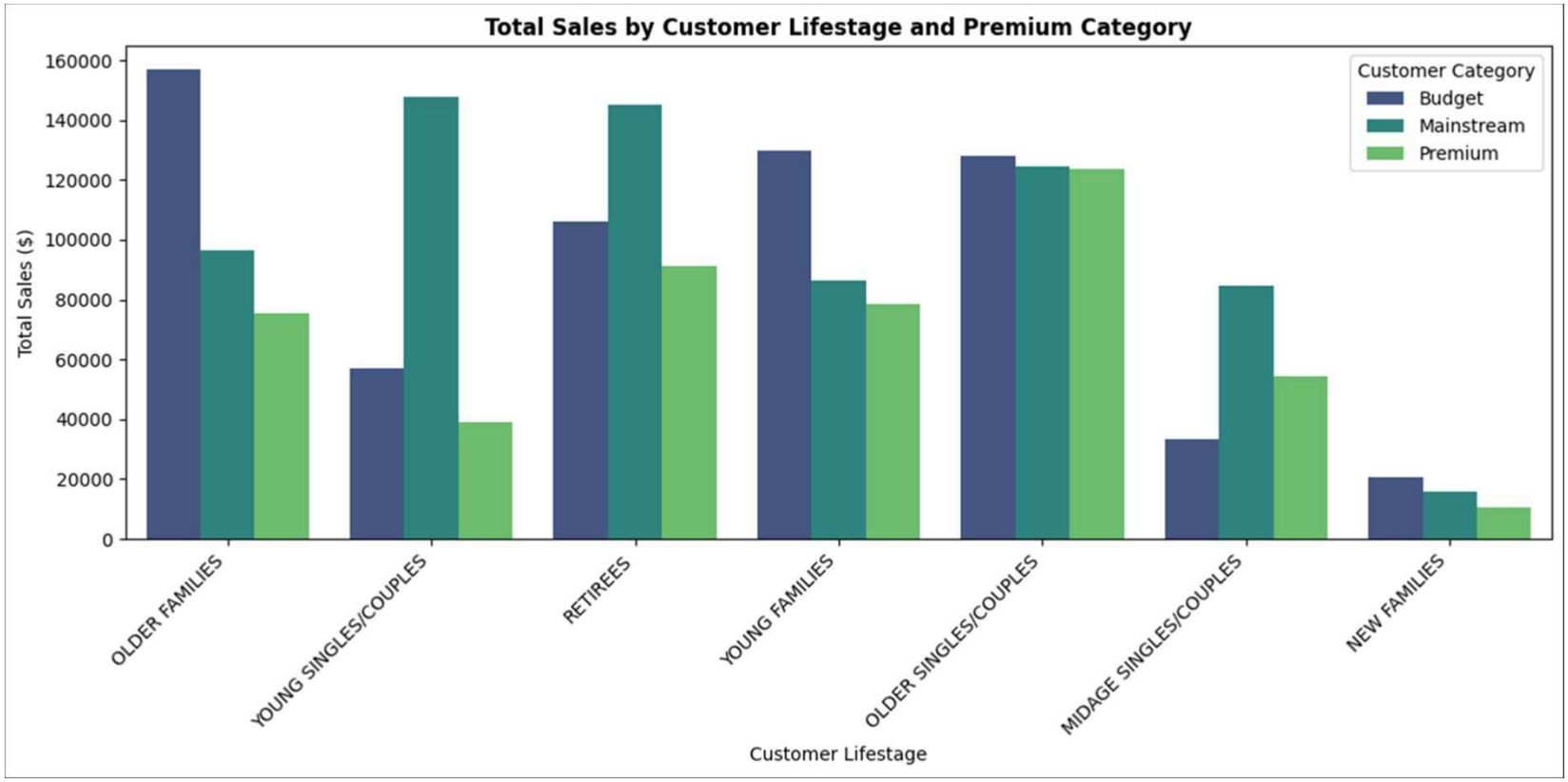
Retail Analytics | Prepared by Aruneshwaran Sivakumar

Executive Summary

- Task 1 Key Findings:
  - • Mainstream Young Singles/Couples and Budget Older Families are the most profitable segments.
  - • Target demographic heavily prefers 270g/330g pack sizes and Tyrells/Twisties brands.
- Task 2 Key Findings:
  - • The new trial store layouts were a significant success.
  - • Trial stores (77, 86, and 88) showed a clear uplift in total sales and customer counts.
- Recommendation: Roll out the new store layout to all locations.

Category Overview: Customer Segments

- Sales are heavily driven by two distinct groups:
  - • Budget Older Families: Buying frequently to feed a household.
  - • Mainstream Young Singles/Couples: Spending premium dollars on snacks.



Target Demographic Deep Dive

- Focus: Mainstream Young Singles/Couples
  - • High Affinity Brands: Tyrells and Twisties
  - • High Affinity Sizes: 270g and 330g (Party Sizes)
- Strategy: Ensure larger bags and premium brands are placed in high-visibility areas to capture impulse buys.

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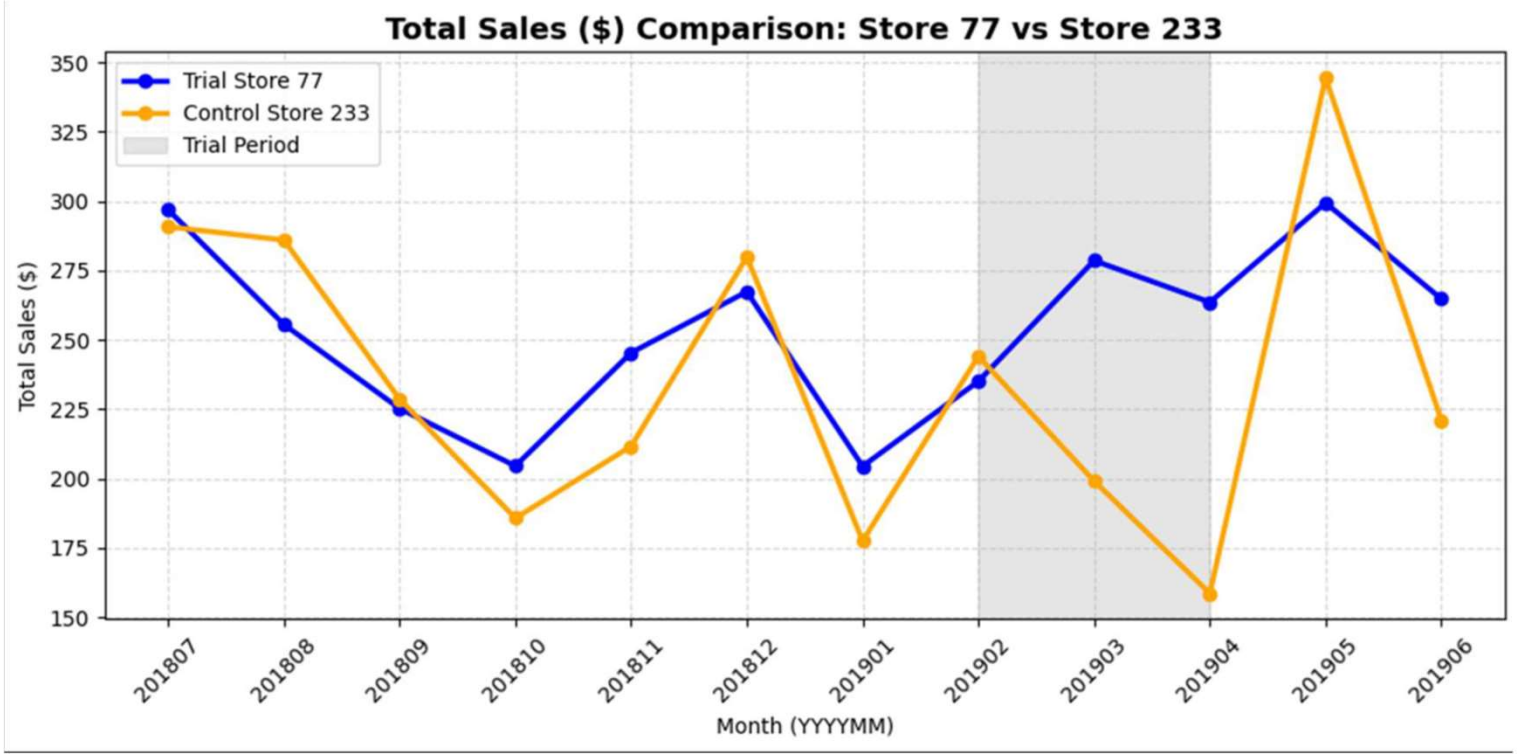
--- Deep Dive: Young Singles/Couples (Mainstream) ---

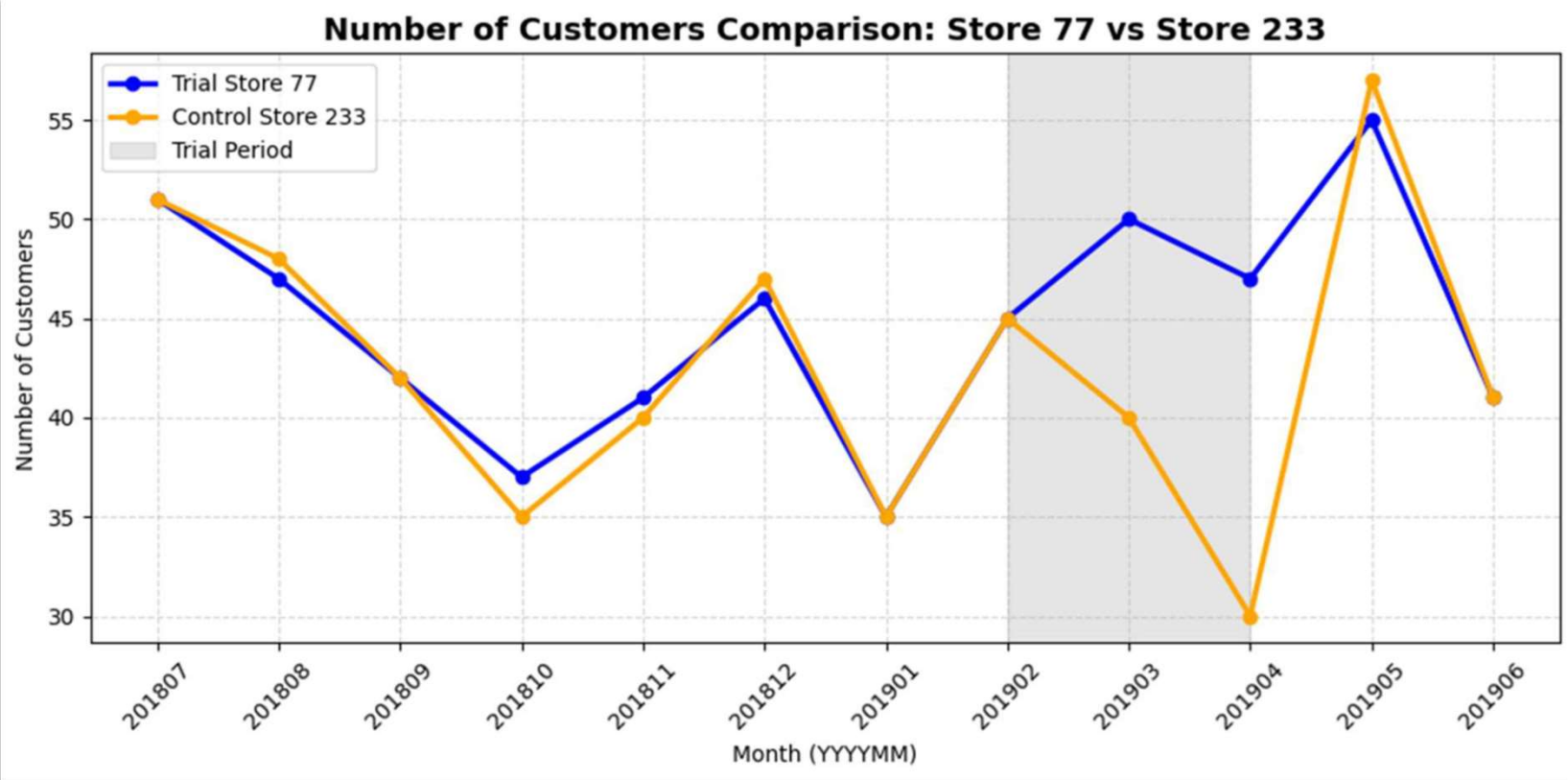
Top 5 Brands our Target Segment is unusually likely to buy (Affinity > 1 means higher preference):
BRAND
TYRRELLS    1.235751
TWISTIES    1.223096
DORITOS     1.210572
TOSTITOS    1.205700
KETTLE      1.193406
Name: proportion, dtype: float64

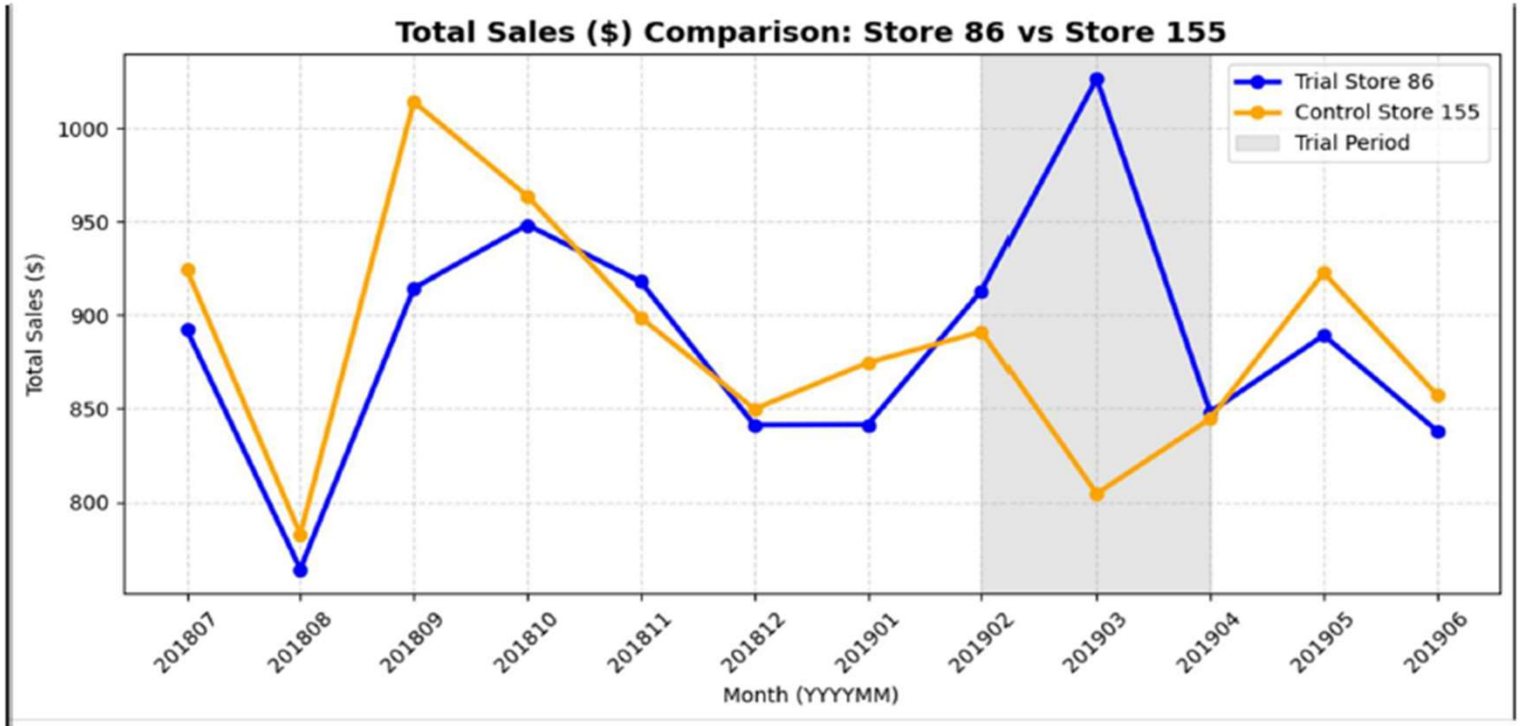
Top 5 Pack Sizes our Target Segment prefers (Affinity > 1 means higher preference):
PACK_SIZE
270.0    1.272269
380.0    1.256849
330.0    1.224477
134.0    1.181003
210.0    1.175546
Name: proportion, dtype: float64
```

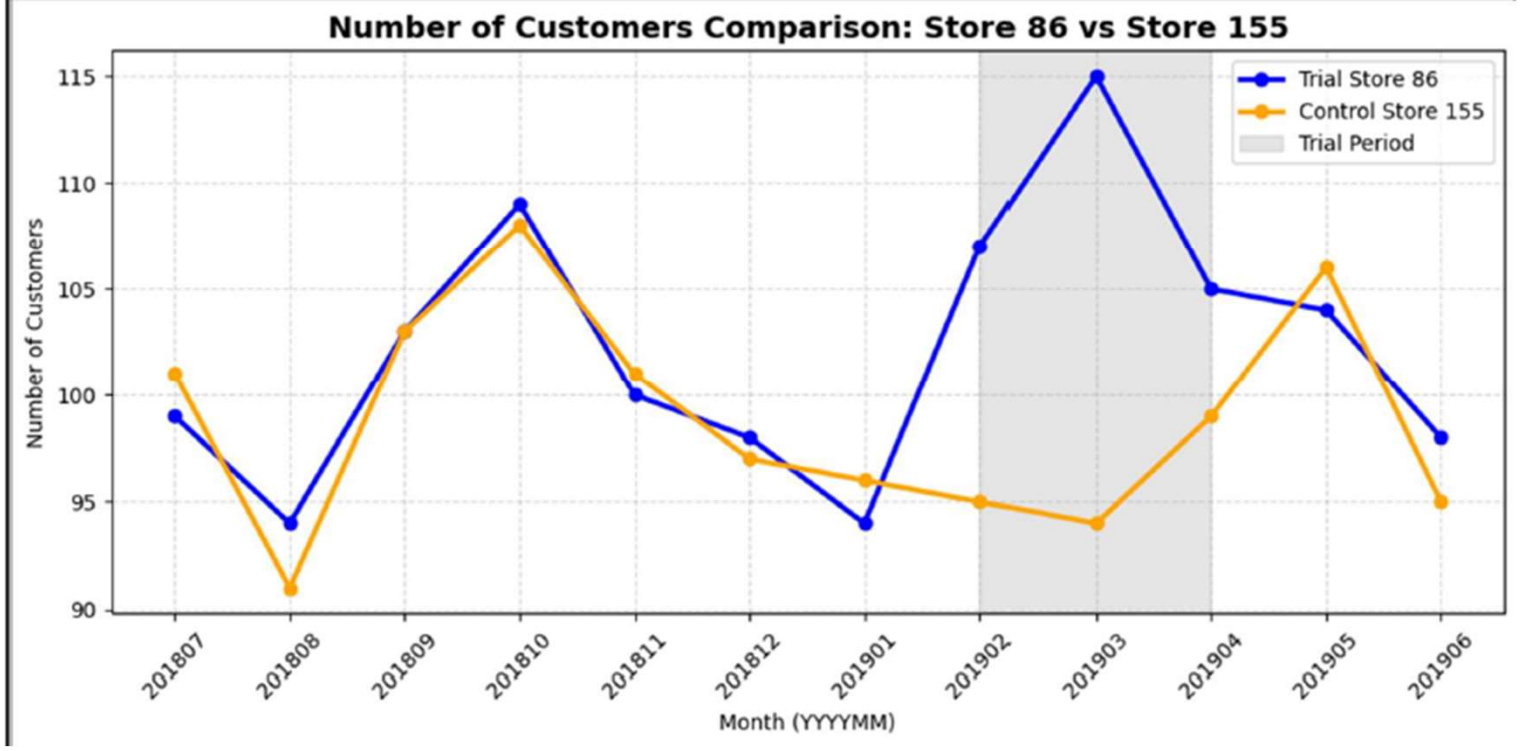
Trial Store Performance (Layout Assessment)

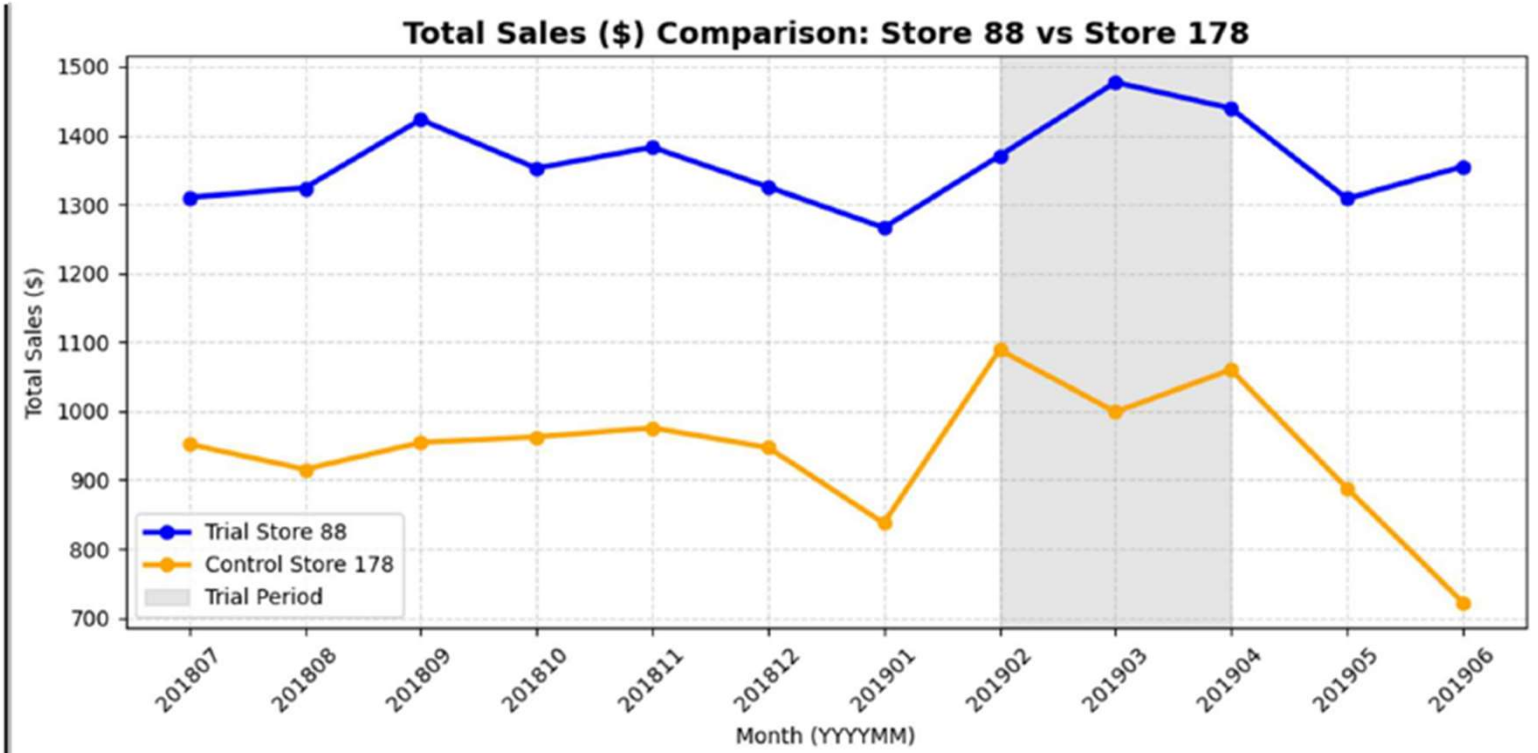
- Methodology: Trial Stores 77, 86, and 88 were paired with mathematically similar Control Stores (233, 155, and 178).
  - • Result: During the Feb-Apr 2019 trial period, trial stores broke away from control counterparts.
  - • Impact: Statistically significant increase in total revenue and unique customers.

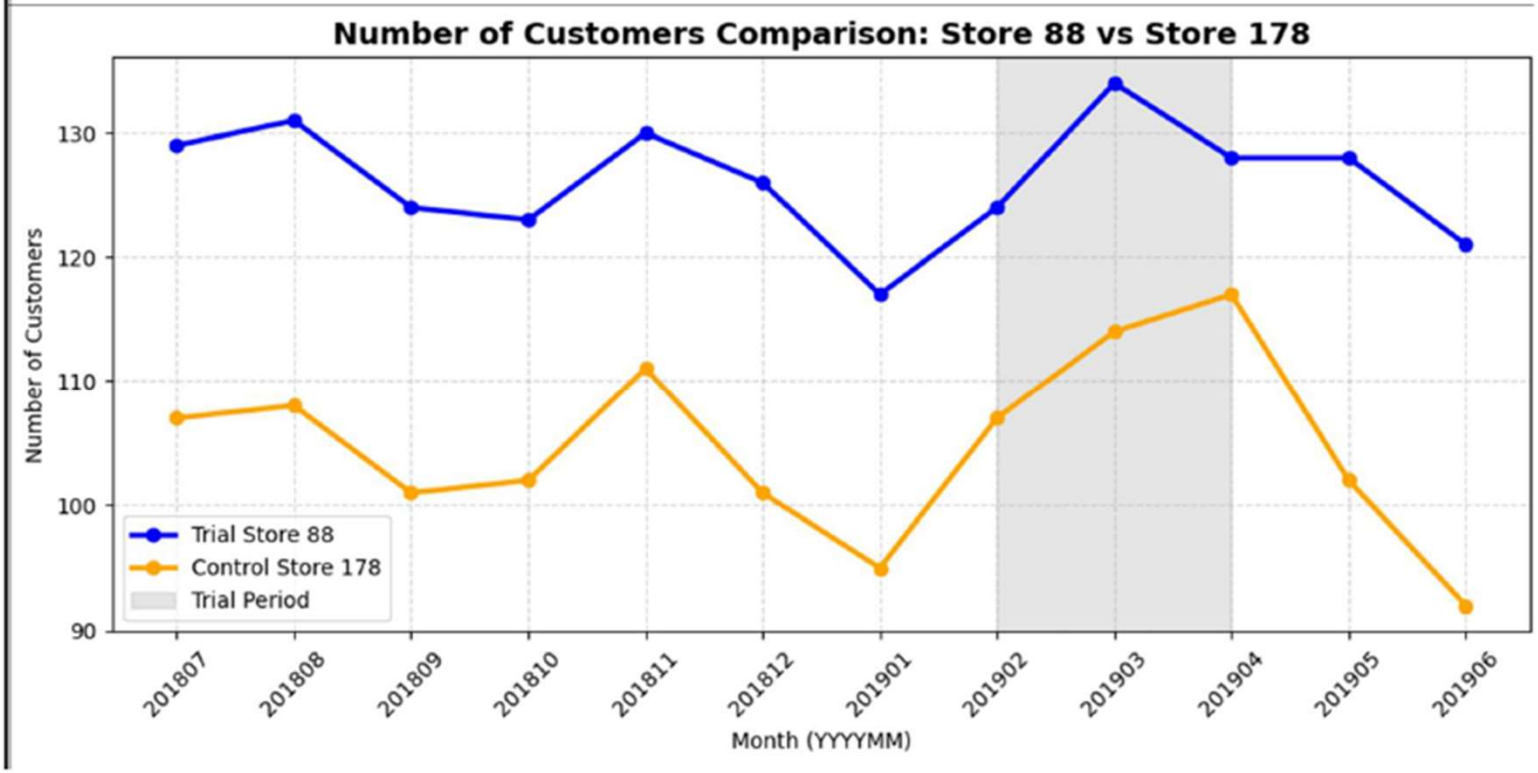



Number of Customers Comparison: Store 77 vs Store 233
Trial Store 77
Control Store 233
Trial Period
Number of Customers
55
50
45
40
35
30
201807
201808
201809
201810
201811
201812
201901
201902
201903
201904
201905
201906
Month (YYYYMM)


Total Sales ($) Comparison: Store 86 vs Store 155
Trial Store 86
Control Store 155
Trial Period
Total Sales ($)
1000
950
900
850
800
201807
201808
201809
201810
201811
201812
201901
201902
201903
201904
201905
201906
Month (YYYYMM)


Number of Customers Comparison: Store 86 vs Store 155
Trial Store 86
Control Store 155
Trial Period
Number of Customers
115
110
105
100
95
90
201807
201808
201809
201810
201811
201812
201901
201902
201903
201904
201905
201906
Month (YYYYMM)


Total Sales ($) Comparison: Store 88 vs Store 178
Total Sales ($)
1500
1400
1300
1200
1100
1000
900
800
700
Trial Store 88
Control Store 178
Trial Period
201807
201808
201809
201810
201811
201812
201901
201902
201903
201904
201905
201906
Month (YYYYMM)


Number of Customers Comparison: Store 88 vs Store 178
Number of Customers
130
120
110
100
90
Trial Store 88
Control Store 178
Trial Period
201807
201808
201809
201810
201811
201812
201901
201902
201903
201904
201905
201906
Month (YYYYMM)